The Mansion House Story

Your FT article from zero. What the policy is, what the first progress update actually said, the thing in the numbers almost nobody will notice, and a chain of reasoning that lands directly on your team.

Doc 35 · Built from the FT, 21 October 2026, Emma Dunkley and Georgina McNamara · Asset Management, Client Solutions Group · Prepared 4 November 2026

1 Why this is a much better choice than the OpenAI one

You were right to switch. Here is the difference in one line.

> With the OpenAI story you had to build four links of mechanism before a pension fund appeared. Here, **the pension fund is the first word of the headline.** There is no bridge to cross.

Three other things make it strong:

- **It is a UK story** and you are applying to London. The clients in it are the clients your team actually covers.
- **There is a genuine disagreement in it.** Michael Moore calls the progress "disappointing"; Zoe Alexander warns against government pushing harder. Two named people publicly disagreeing is a gift, because "here is the argument and here is where I land" is a much better answer than "here is a thing that happened."
- **There is something in the numbers that most people will not spot.** That is section 4, and it is the whole reason to use this story rather than the version every other UK applicant will give.

The one risk, stated honestly. This is the story UK candidates get told to use. Plenty of people will mention the Mansion House Accord. The protection is that almost all of them will talk about *the target* — the 10% by 2030 — which anybody can read in a headline. You are going to talk about **what the money actually bought**, which requires having read the breakdown. That is your differentiation, and it is cheap to get because it is sitting in your article.

2 The background, assuming you know nothing

Four ideas. None of them hard.

IDEA 1

What a DC pension actually is

Your employer takes a slice of your salary each month, adds some of their own, and puts it in a pot with your name on it. That pot gets invested. When you retire, you get whatever the pot is worth.

Defined contribution means the *contribution* is the fixed thing. What you end up with is not promised to you. If the investments do badly, that is your problem.

Compare the old system, **defined benefit**, where the employer promised you a specific income for life and carried the risk themselves. That has largely been closed to new joiners. The risk moved from the company to the individual.

IDEA 2

What a "default fund" is, and why it matters so much

When you are auto-enrolled into a workplace pension, you are asked to choose how it is invested. **Almost nobody chooses.** So there is a default: if you express no preference, your money goes here.

The result is that a tiny number of investment decisions, made by a handful of providers, determine where the retirement savings of millions of people go. That is why a policy aimed at default funds is such a powerful lever, and why this story is about a small number of very large decisions.

The providers named in your article — Aviva, Legal & General, Royal London, Standard Life — are exactly these decision-makers.

IDEA 3

What "private markets" means

Anything not traded on a stock exchange. Four kinds appear in your article:

- **Real estate** — buildings. Offices, warehouses, flats.
- **Infrastructure** — roads, wind farms, water networks, power grids.
- **Private credit** — lending directly to companies instead of buying their listed bonds.
- **Private equity** — buying stakes in companies that are not listed, including young growing ones.

The common feature: you cannot sell them quickly, and there is no daily price. Remember that — it causes the problem in section 6.

IDEA 4

What the Mansion House Accord is

In May 2025, seventeen of the biggest UK workplace pension providers signed a voluntary agreement with the government. The promise: by 2030, at least **10% of their default fund assets in private markets globally, with half of that — 5% — in UK private assets specifically.**

Two motives, and they are not the same thing. The government wanted capital flowing into British infrastructure and British companies. The industry argument was that savers would get better long-term returns, partly because public stock markets keep shrinking.

It is voluntary. Nobody is legally obliged to hit it. Hold onto that, because the fight about whether it should *become* compulsory is half your answer.

3 What the update actually said

On 21 October 2026, Pensions UK and the Association of British Insurers published the first official progress report. Here is everything in it that matters.

Measure	Actual	2030 target	How far along
Private markets globally, as % of DC growth-phase assets	6.6%	10%	Two-thirds of the way
UK private markets, as % of DC growth-phase assets	3.3%	5%	Two-thirds of the way
Money in global private markets	£22.1bn	—	
Money in UK private markets	£11.1bn	—	Exactly half of the global total
Signed but not yet deployed	£3.3bn	—	Committed, not working yet

Figures from your FT article. My research confirms the same figures elsewhere, and adds one important detail: **the data is as at 31 December 2025.**

SMALL FINDING YOU CAN USE — NOBODY ELSE WILL

The numbers are a photograph of **31 December 2025**, published in October 2026. So the argument everybody is having in autumn 2026 is about a position that is nearly ten months old. If someone in an interview talks about this as current data, they have not checked. Saying "and worth noting this is end-2025 data, so it is already quite stale" costs you four seconds and signals that you read the source rather than the headline.

SECOND FINDING — THE SPLIT IS RIGHT, THE SCALE IS NOT

£11.1bn of £22.1bn is exactly **50% in the UK**, which is precisely what the Accord asks for. And both percentages — 6.6% against 10%, and 3.3% against 5% — are exactly two-thirds of the way to target.

So the providers are hitting the UK share perfectly and missing the overall level. That is a precise and useful distinction: the problem is not that they are avoiding Britain. It is that they are not moving fast enough overall. Those require completely different fixes, and most commentary muddles them.

4 The thing in the numbers most people will miss

This is your answer. Look at what the £11.1bn of UK money was actually spent on.



THE POINT

The policy was sold as funding British infrastructure and helping British companies grow. Nearly three quarters of the money bought buildings. Private equity — the growth capital part, the bit the policy was really about — got £1 in every £22.

Figure 1 — The composition. Percentages are my calculation from the FT's figures. The four named categories total £10.7bn of the £11.1bn headline.

The money went in. **It just did not go where the policy wanted it to go.**

Why? Because the money took the path of least resistance

This is the explanation, and it is genuinely satisfying once you see it. Those four asset types are not equally difficult to buy. They are in order of difficulty, and the money flowed exactly in reverse order of how hard they are.

Asset	Got	Why it is easy or hard to buy at scale
Real estate	£8.0bn	**Easiest by far.** Property funds have existed for decades. You can deploy a billion pounds in one transaction by buying a building. The valuation methods are established, the legal structures exist, and pension providers already had property teams.
Infrastructure	£1.3bn	Harder. Projects are large but there are not many of them, they take years to reach the point of needing money, and they come with construction and regulatory risk.
Private credit	£0.9bn	Harder still. You have to originate loans, which means relationships with borrowers, or buy into someone else's fund and accept their underwriting.
Private equity	£0.5bn	**Hardest.** You are buying stakes in individual companies. Each one is small, so deploying meaningful money means doing many deals. Each needs specialist diligence. Fees are the highest, which collides with the cost pressure in section 7. And a British scale-up might only need £20m, so you need four hundred of them to move £8bn.

THINK OF IT LIKE THIS

Someone gives you £1,000 and a week to spend it on improving your health. You could research a specialist programme, find the right coach, build a plan. Or you could buy a very good bike on Saturday morning.

Most people buy the bike. Not because it is the best answer — because it is the one you can actually complete inside the deadline. **Capital behaves the same way: under a target and a time limit, it buys the thing it can buy.**

5 The structural problem underneath

There is a second reason this is slow, and it is the one that most directly concerns an asset manager. It is a plumbing problem.

> A DC default fund is priced and traded **every day**. Private assets are **not**. Those two facts are in direct conflict.

Why daily matters: if you want to move your pension, or you leave your job, or you retire, you need a price today and your money out. The whole DC system is built on that promise.

But a warehouse cannot be sold this afternoon. A stake in a private company has no price today — somebody estimates it every few months.

> **THINK OF IT LIKE THIS**
>
> A savings account you can withdraw from any day, which has to hold some of its money in houses. Someone asks for their money back on Tuesday. You cannot sell a quarter of a house on Tuesday.

How the industry is actually solving it

With a structure called a **Long-Term Asset Fund**, or LTAF. Three things to know, and they are enough: (from my research, 4 November 2026)

- **The LTAF itself does not deal daily.** The FCA rules do not permit it. Valuations happen monthly.
- **So it is used as a sleeve inside a daily fund.** The published example is Schroders' own DC scheme: the default is roughly **80% liquid assets and 20% LTAF**. The liquid 80% absorbs the daily comings and goings; the illiquid 20% sits underneath. BlackRock's DC plan uses a similar 20% figure.
- **It is growing but small.** LTAF assets reached about £7.3bn by April 2026, up from roughly £5bn in mid-2025, and nearly three-quarters of UK DC schemes say they plan to use them.

And the honest caveat, which is worth saying because it shows you read past the marketing: commentators note the daily-dealing problem is **still not fully resolved** by the LTAF structure. In a stress, redemptions can still force the fund to rebalance cash or, in extreme cases, sell assets.

6 The bit that lands on your team

Here is where this stops being a policy story and becomes a Client Solutions story. The two industry figures quoted in your article both say the same thing, and it is extraordinary that they said it out loud.

> "It does take time to build these capabilities: you need to hire people, get them up to speed, build relationships. If you're directly investing, it's a time-intensive process."
>
> Zoe Alexander, Chief Policy Officer, Pensions UK

> Accessing private assets "also requires specialist expertise."
>
> Yvonne Braun, Director of Long-Term Savings, ABI, as reported

READ WHAT THAT ACTUALLY IS

That is the client side of the industry publicly stating that **they have been told to buy something they do not have the people, the relationships or the expertise to buy.**

Which is the case for outsourcing it, made by the client, in their own words. A pension provider facing a 2030 deadline has two options: spend years building a private markets team from nothing, or hire a firm that already has one.

That is your division's commercial opportunity, and you did not have to argue for it — they said it.

And it explains the composition finding from section 4. Property got the money partly because the providers *already had property capability*. Private equity got almost nothing partly because they did not. The capability gap and the composition problem are the same problem wearing two hats.

The denominator effect again, in reverse

You learned this in doc 34. It is back, pointing the other way.

Yvonne Braun makes a subtle point in your article: DC schemes and default funds are **growing rapidly**, which means more money has to be allocated to private markets just to keep the *percentage* still.

SAME MATHS, OPPOSITE SIGN

In doc 34 the total shrank, so the private percentage went up without anyone doing anything. Here the total is growing, so the private percentage falls unless you keep feeding it.

It is a running machine. Every month more money arrives in DC pots from ordinary pay packets, and the denominator gets bigger. To hold 6.6% you have to keep buying. To reach 10% you have to buy much faster than that.

Noticing that the target is a *moving* one is a genuinely sophisticated observation and it takes one sentence.

7 The argument: should it be compulsory?

This is the live fight in your article, and it is the best thing in it, because you can take a side with an actual economic argument.

Make it mandatory	Keep it voluntary
Michael Moore of UK Private Capital calls the progress "disappointing" and says providers are not moving fast enough. He warns of "a once-in-a-generation opportunity for sovereign UK leadership in tech and thousands of new jobs" being missed.	Zoe Alexander says Pensions UK is "very concerned about anything that creeps towards 'mandatory'."
The reader comments make the harder version: funds that receive UK tax breaks should be required to invest a rising share in the UK, or give up the tax breaks. There is precedent in investment trust rules.	Her argument is economic, and it is the strong one: *"If the government forces a particular allocation to the UK, then that drives prices up, and that could cause risk to saver returns."*

> **WHY THE VOLUNTARY ARGUMENT IS ECONOMICALLY STRONGER, AND YOU CAN OWN THIS AS AN ECONOMICS STUDENT**
>
> Think about what mandating actually does. You create a group of buyers who **must** buy, by a date, in a market whose supply cannot grow to meet them quickly. You cannot conjure British scale-ups into existence because a deadline exists.
>
> Forced demand plus fixed supply equals **higher prices**. And paying a higher price for the same asset means a lower future return.
>
> So the policy aimed at getting savers better returns could, by forcing the pace, deliver them worse ones. That is not a political objection. It is just what happens when you mandate buying in a market that cannot supply.

The counter you should hold, because it is fair: the comments argue the UK private market is large enough to absorb it, that UK assets are already being bought up by overseas investors anyway, and that the whole point is to lower the UK's cost of capital. That is a real argument. Be able to state it.

8 The chain of reasoning, on one page

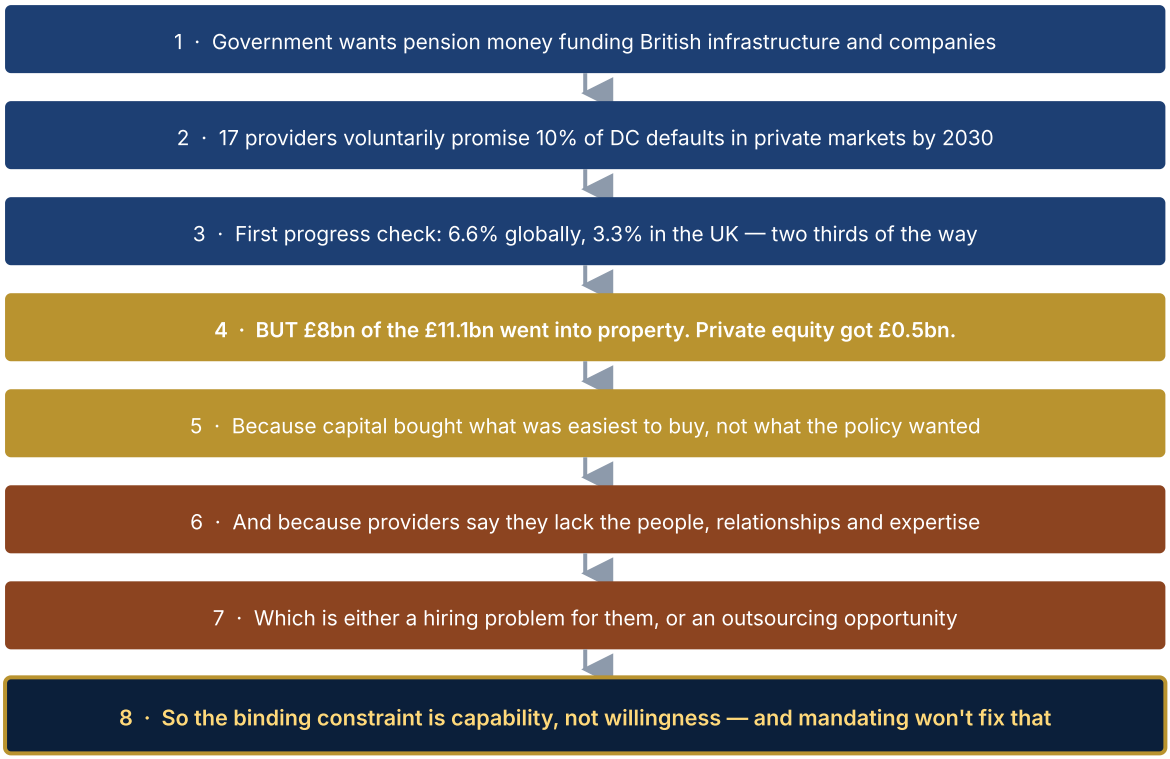


Figure 2 — Eight steps. Blue is the policy, gold is what actually happened, brown is the consequence for asset managers.

THE SHAPE, IN ONE SENTENCE

They promised 10%, they are at 6.6%, and the money that did move bought buildings rather than businesses — because the constraint is capability, not willingness, and a deadline does not create capability.

9 Your opinion, three versions

Pick one. Each is a claim that could be wrong, with a reason and a test.

VIEW A — MEASURED BY THE WRONG NUMBER · RECOMMENDED

"My view is that this is being judged on the wrong number. Everyone is arguing about whether 6.6% is close enough to 10%, but the more revealing figure is the composition. Nearly three quarters of the UK money went into property and only half a billion into private equity, when the policy was sold as funding British companies. So the target is being hit in pounds and missed in purpose. What would tell me I am wrong is the next update. If the mix shifts toward infrastructure and private equity even with the total growing slowly, then the capability is genuinely being built and I am being impatient."

VIEW B — MANDATING WOULD BACKFIRE · STRONGEST ECONOMICS

"I think the push to make it mandatory would work against the thing it is meant to achieve. If you force a group of buyers to allocate a fixed share by a fixed date, in a market whose supply cannot expand that quickly, you raise the price of the assets. A higher entry price means a lower future return, so the policy aimed at improving saver outcomes would end up damaging them. The constraint here looks like capability rather than willingness, and a deadline does not create capability. What would change my mind is evidence that UK private market supply is genuinely deeper than people assume — a few commentators argue exactly that, and if they are right the price effect would be much smaller than I am suggesting."

VIEW C — THE PLUMBING IS THE REAL STORY · MOST TECHNICAL

"The part I find most interesting is mechanical rather than political. A DC default fund has to be priced and dealt daily and private assets cannot be, so the real work is structural: building a vehicle where a saver who leaves next Tuesday and one who stays for thirty years are both treated fairly. The industry answer is the Long-Term Asset Fund held as a sleeve inside a liquid default, typically around twenty per cent, but commentators are clear the daily dealing problem is not fully solved. So I would say the binding constraint is a structuring problem, not an allocation decision. What would prove me wrong is LTAF assets accelerating sharply from the roughly seven billion they were at in April, because that would mean the structure is working better than the commentary suggests."

10 Say it out loud

About 110 seconds. **Learn the four beats, not the words.**

BEAT 1 — OPEN, ~18 SECONDS

Thanks for taking the time to watch this. The story I have been following is the first progress report on the Mansion House Accord, which came out a couple of weeks ago. Seventeen UK pension providers promised to put ten per cent of their default funds into private markets by 2030, and the update showed they are at six point six per cent, with eleven point one billion pounds in UK assets. But the interesting bit for me is not the headline number, it is what the money actually bought.

BEAT 2 — THE FINDING AND THE MECHANISM, ~32 SECONDS

Of that eleven billion, eight billion went into UK real estate. Private equity, which is the part the policy was really sold on, funding British companies, got five hundred million. So about one pound in every twenty-two. And I think the reason is quite simple when you look at it. Those asset types are not equally easy to buy. You can deploy a billion pounds into property in a single transaction and the providers already had property teams. Private equity means lots of small deals, each needing specialist diligence, in a capability most of them do not have. So under a target and a deadline, the money went to the thing that could actually be bought.

BEAT 3 — THE LINK TO CLIENTS AND THIS TEAM, ~30 SECONDS

What makes it relevant to this division is what the industry itself said about why. Pensions UK talked about needing to hire people, get them up to speed and build relationships, and the ABI said accessing private assets requires specialist expertise. That is the client side publicly saying they have been asked to buy something they do not have the capability to buy. Which gives a provider facing a 2030 deadline two choices: spend years building a private markets team, or partner with somebody who already has one. And there is a structural problem underneath it too, because DC default funds have to be dealt daily and private assets cannot be, which is why the industry is building these Long-Term Asset Fund sleeves inside liquid defaults.

BEAT 4 — THE VIEW AND THE TEST, ~28 SECONDS

So my view is that this is being measured by the wrong number. The debate is all about whether six point six is close enough to ten, when the composition tells you more. And I would be cautious about the push to make it mandatory, because if you force a fixed allocation by a fixed date in a market where supply cannot expand that fast, you push prices up, and a higher entry price means lower returns for exactly the savers it is meant to help. What would tell me I am wrong is the next update. If the mix moves toward infrastructure and private equity even with the total growing slowly, then the capability is genuinely being built and I am being impatient.

The three sentences that carry it

1. *"The interesting bit is not the headline number, it is what the money actually bought."* — arrives around second fifteen and turns a summary into analysis.
2. *"Under a target and a deadline, the money went to the thing that could actually be bought."* — your compression line.

3. *"That is the client side publicly saying they have been asked to buy something they do not have the capability to buy."* — the bridge to your division, and it is quoting them, not stretching.

11 The follow-ups, with answers

They ask	You say
"Should it be mandatory?"	Your view B. Forced buyers plus fixed supply equals higher prices equals lower returns for the savers it is meant to help. Then concede the counter: some argue UK private markets are deeper than assumed, and overseas buyers are already taking UK assets anyway.
"Why is property bad? It is still investment."	Don't say it is bad. "It is not bad at all, and it is a legitimate asset for a long-horizon saver. My point is narrower: the policy was argued for on the grounds of funding British growth companies and infrastructure, and property does not do that. So it is a gap between the stated purpose and the outcome, not a bad investment."
"What is an LTAF?"	"A fund structure for holding illiquid assets inside a pension default. It cannot itself deal daily — the FCA does not allow it — so it gets used as a sleeve, maybe twenty per cent, inside a mostly liquid default fund. Schroders' own DC scheme is the published example."
"Is 6.6% actually bad?"	Be fair. "Two thirds of the way with four years left is not obviously behind. And the UK split is exactly on target at half. My concern is about the composition and the direction of travel rather than the level."
"What would you do about it?"	Stay modest and operational. "I'd report the mix as well as the total, so the purpose is being measured and not just the pounds. And I'd expect more of this to be done through partnership than built in-house, because 2030 is not long enough to build a private equity capability from nothing."
"How does this affect Goldman?"	"It is a demand signal. Seventeen providers have a public deadline and have said they lack the capability, which is a route into a channel that is growing fast. Goldman's third-party distributed assets grew thirty-six per cent in the last year, faster than either of its other channels."
"Do you know how big UK DC is?"	If you don't, say so and give what you do have. "I don't have the total to hand. What I can tell you is that these seventeen providers cover around ninety per cent of active DC savers, which is why the Accord matters so much despite being voluntary."

12 Before you record

- **Check three things.** Whether a newer update has been published; whether the government has moved on the reserve power to mandate allocations; and the current LTAF asset total. All three could change.
- **Say the date.** "The update came out on the twenty-first of October, and the data in it is as at the end of 2025." It takes three seconds and it is a quiet signal of care.

- **Attribute.** "Pensions UK and the ABI reported", "the FT's breakdown showed". Free insurance.
- **The memory test.** Close this document and draw the eight steps in figure 2. If you can, you own it. If you cannot, reread section 8 only.
- **Then film it twelve times,** changing the words each time, keeping the four beats and the four numbers fixed. The four numbers: **10% target, 6.6% actual, £11.1bn UK, £8bn into property.** That is all you need to carry.

> **WHY THIS ANSWER WILL BEAT MOST CANDIDATES**
>
> Plenty of people will mention the Mansion House Accord. Almost all of them will say "pension funds have been told to put 10% into private markets by 2030 and they are behind." That is the headline, and it is available to anyone in thirty seconds.
>
> You are going to say what the money actually bought, explain why the easy asset won, quote the industry admitting it lacks the capability, and land on an economic argument about why forcing the pace would hurt the savers it is meant to help. **Every one of those required reading the article properly rather than the headline** — which is exactly the difference the question is designed to detect.

Sourcing. The £11.1bn, £22.1bn, 6.6%, 3.3%, £3.3bn undeployed, the four-way breakdown, the named signatories and all three quotes come from the FT article dated 21 October 2026 by Emma Dunkley and Georgina McNamara that you sent me. My own research on 4 November 2026 confirmed the headline figures across several trade publications and added that the data is as at 31 December 2025, plus the LTAF details: that FCA rules do not permit daily dealing and require monthly valuation, the roughly 80/20 Schroders DC example and BlackRock's similar 20%, the £7.3bn LTAF total at April 2026, and the finding that nearly three quarters of UK DC schemes plan to use them. Those come from trade press and industry commentary I could not check against primary sources — **re-verify before you say them.** Goldman's 36% third-party channel growth is from its Form 10-Q for the period ended 30 September 2026. All percentage calculations of the composition are mine, from the FT's figures. The Accord's May 2025 origin and the 17 signatories covering around 90% of active DC savers are from earlier research and are widely reported.